SA Kingdom of Saudi Arabia

Payroll Compliance Summary

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Quick Reference Card

Parameter	Value
Currency	Saudi Riyal (SAR)
Work Week	Sunday – Thursday
Weekend	Friday & Saturday
Income Tax	**0% (No personal income tax)**
Work Hours	8 hrs/day, 48 hrs/week
Ramadan Hours	6 hrs/day, 36 hrs/week
Overtime Rate	150% of hourly rate

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1. GOSI (Social Insurance) — التأمينات الاجتماعية

1.1 Contribution Rates

Saudi National Employees

Component	Employee	Employer	Total
Pension (المعاشات)	9.75%	9.75%	19.50%
OHAN (Occupational Hazards)	0%	2.00%	2.00%
SANED (Unemployment)	0.75%	0.75%	1.50%
TOTAL	**10.50%**	**12.50%**	**23.00%**

Expatriate Employees

Component	Employee	Employer	Total
Pension	❌ N/A	❌ N/A	—
OHAN (Occupational Hazards)	0%	2.00%	2.00%
SANED	❌ N/A	❌ N/A	—
TOTAL	**0%**	**2.00%**	**2.00%**

1.2 GOSI Wage Base

Parameter	Value
GOSI Base	Basic Salary + Housing Allowance
Ceiling	SAR 45,000/month
Floor	SAR 1,500/month
Nitaqat Minimum	SAR 4,000/month

1.3 What's Included vs Excluded

✅ Included in GOSI Base	❌ Excluded from GOSI Base
Basic Salary	Transportation Allowance
Housing Allowance (HRA)	Food Allowance
	Mobile/Phone Allowance
	Overtime Pay
	Bonuses & Commission
	All other allowances

1.4 GOSI Calculation Example

Saudi Employee:

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Basic Salary:      SAR 10,000
Housing Allowance: SAR 2,500
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GOSI Base:         SAR 12,500

Employee Deduction (10.50%): SAR 1,312.50
Employer Contribution (12.50%): SAR 1,562.50
```

Expatriate Employee:

```
Basic Salary:      SAR 8,000
Housing Allowance: SAR 2,000
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GOSI Base:         SAR 10,000

Employee Deduction: SAR 0.00 ✓
Employer Contribution (2%): SAR 200.00
```

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2. End of Service Benefits (ESB) — مكافأة نهاية الخدمة

2.1 Calculation Formula

Service Period	Rate
First 5 years	½ month Basic Salary × Years
After 5 years	1 month Basic Salary × Years

Formula:

```
ESB = (Basic × 0.5 × First 5 Years) + (Basic × 1.0 × Years After 5)
```

2.2 ESB by Termination Type

Termination Type	ESB Entitlement
Employer Terminates (End of Contract)	100%
Retirement	100%
Death	100% (to heirs)
Resignation	
• Less than 2 years	0%
• 2–5 years	33.33% (1/3)
• 5–10 years	66.67% (2/3)
• More than 10 years	100%
Termination for Cause (Article 80)	0%

2.3 ESB Example

Employee resigns after 7 years | Last Basic: SAR 15,000

```
First 5 years:  15,000 × 0.5 × 5 = SAR 37,500
Next 2 years:   15,000 × 1.0 × 2 = SAR 30,000
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Full ESB:                          SAR 67,500

Resignation Factor (5-10 years):   × 66.67%
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Actual ESB Payable:                SAR 45,000
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3. Wage Protection System (WPS) — نظام حماية الأجور

3.1 Requirements

Requirement	Details
Payment Method	Electronic bank transfer ONLY
Payment Deadline	Within 7 days of salary due date
Employee Bank Account	Mandatory Saudi bank account
Reporting Platform	Mudad (mudad.com.sa)

3.2 Compliance Bands

Status	Color	Consequence
Compliant	🟢 Green	Normal operations
Warning	🟡 Yellow	1-7 days delay
Non-Compliant	🔴 Red	>7 days delay → Fines, visa restrictions

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4. Working Hours & Overtime

4.1 Standard Hours

Period	Daily	Weekly
Normal	8 hours	48 hours
Ramadan (Muslims)	6 hours	36 hours

4.2 Overtime Calculation

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Hourly Rate = Monthly Basic ÷ 240

Overtime Rate = Hourly Rate × 1.5 (150%)
```

Example:

```
Basic Salary: SAR 6,000
Hourly Rate:  6,000 ÷ 240 = SAR 25.00
OT Rate:      25.00 × 1.5 = SAR 37.50
OT Hours:     10 hours
OT Pay:       10 × 37.50 = SAR 375.00
```

4.3 Overtime Limits

- Maximum 720 hours per year
- Employee consent required
- Applies to: Regular OT, Friday work, Holiday work

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5. Leave Entitlements

5.1 Annual Leave

Service	Entitlement
Less than 5 years	21 days/year
5 years or more	30 days/year

- Carry forward: Up to 50% to next year
- Max accumulation: 2 years
- Encashment: Yes (on termination)

5.2 Sick Leave

Period	Payment
First 30 days	100%
Days 31–90	75%
Days 91–120	Unpaid

5.3 Other Leave Types

Leave Type	Duration	Paid
Maternity	10 weeks (70 days)	50-100%
Paternity	3 days	✅
Marriage	5 days	✅
Bereavement	5 days	✅
Hajj (once)	10-15 days	✅

Leave Type	Duration	Paid
Iddah (Muslim widow)	4 months 10 days	✅

5.4 Public Holidays (10 days total)

Holiday	Duration
Founding Day (Feb 22)	1 day
Eid Al-Fitr	4 days
Eid Al-Adha	4 days
National Day (Sep 23)	1 day

6. Saudization (Nitaqat) — نطاقات

6.1 Compliance Bands

Band	Status	Consequence
⬜ Platinum	Exceeds requirements	Premium benefits
🟢 Green	Meets requirements	Normal operations
🟡 Yellow	Below requirements	6-month grace period
🔴 Red	Significantly below	No visas, restrictions

6.2 Who Counts Toward Saudization

Employee Type	Count
Full-time Saudi (≥ SAR 4,000)	1.0
Part-time Saudi (≥ SAR 3,000)	0.5

Employee Type	Count
Saudi Disabled	4.0
Saudi < SAR 4,000	0.0 ❌

7. Compliance Calendar

Monthly Deadlines

Task	Deadline
Salary Payment (WPS)	7th of following month
GOSI Payment	15th of following month
GOSI Monthly Report	15th of following month
New Employee GOSI Registration	Within 15 days of joining
Termination GOSI Update	Within 15 days of leaving

8. Salary Structure

Typical Components

Component	GOSI?	ESB?
Basic Salary	✅	✅
Housing Allowance	✅	❌
Transportation	❌	❌
Food Allowance	❌	❌

Component	GOSI?	ESB?
Mobile/Communication	❌	❌
Overtime	❌	❌
Bonus/Commission	❌	❌

9. Key Differences: Saudi vs Expatriate

Aspect	Saudi	Expatriate
GOSI Employee Deduction	10.50%	0%
GOSI Employer Cost	12.50%	2%
Pension Benefits	✅ Yes	❌ No
Unemployment (SANED)	✅ Yes	❌ No
OHAN (Work Injury)	✅ Yes	✅ Yes
Income Tax	0%	0%
ESB	✅ Yes	✅ Yes

10. Penalties

Violation	Penalty
GOSI Late Payment	2% per month
WPS Delay (>7 days)	Fines + visa restrictions
Nitaqat Red Zone	No new visas, no renewals
ESB Non-Payment	Legal action + penalties

Violation	Penalty
No Written Contract	Fine up to SAR 5,000

Quick Formulas

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│                    KSA PAYROLL FORMULAS                  │
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│                                                          │
│  GOSI Base = Basic + Housing Allowance                   │
│  (Max: SAR 45,000 | Min: SAR 1,500)                      │
│                                                          │
│  Saudi GOSI (Employee) = GOSI Base × 10.50%              │
│  Saudi GOSI (Employer) = GOSI Base × 12.50%              │
│                                                          │
│  Expat GOSI (Employee) = SAR 0                           │
│  Expat GOSI (Employer) = GOSI Base × 2%                  │
│                                                          │
│  Hourly Rate = Basic ÷ 240                               │
│  Overtime = Hours × (Hourly Rate × 1.5)                  │
│                                                          │
│  ESB (First 5 yrs) = Basic × 0.5 × Years                 │
│  ESB (After 5 yrs) = Basic × 1.0 × Years                 │
│                                                          │
│  Net Salary (Saudi) = Gross - GOSI (10.50%)              │
│  Net Salary (Expat) = Gross - 0 = Gross ✓                │
│                                                          │
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Key Government Portals

Portal	Purpose	URL
GOSI	Social Insurance	gosi.gov.sa

Portal	Purpose	URL
Mudad	WPS Compliance	mudad.com.sa
Qiwa	Labor Contracts	qiwa.sa
MHRSD	Labor Laws	hrsd.gov.sa
Muqeem	Expat Services	muqeem.sa

This is a summary document. Always verify current rates and rules with official government sources.